IDC MarketScape

IDC MarketScape: Worldwide SaaS and Cloud-Enabled Procurement Applications 2021 Vendor Assessment

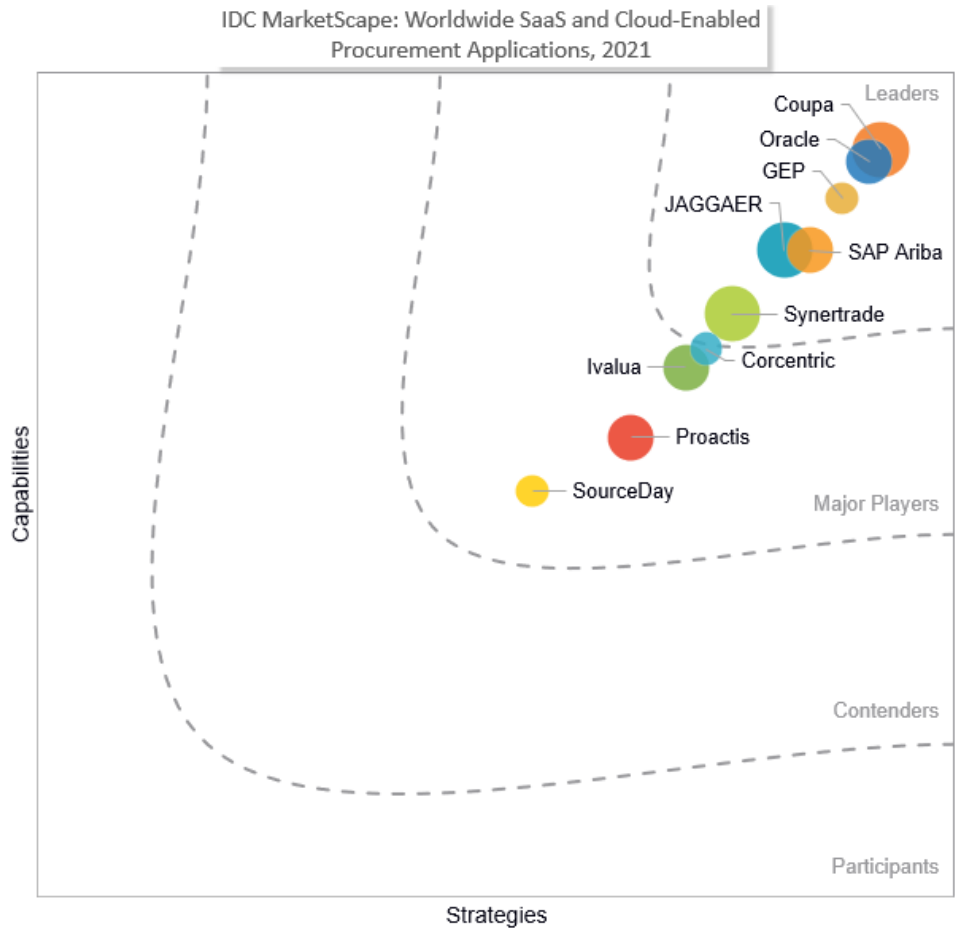
Mickey North Rizza Frank Della Rosa

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IDC MARKETSCAPE FIGURE

FIGURE 1

IDC MarketScape Worldwide SaaS and Cloud-Enabled Procurement Applications Vendor Assessment



Source: IDC, 2021

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Please see the Appendix for detailed methodology, market definition, and scoring criteria.

IN THIS EXCERPT

The content for this excerpt was taken directly from IDC MarketScape: Worldwide SaaS and Cloud-Enabled Procurement Applications 2021 Vendor Assessment (Doc # US45015719). All or parts of the following sections are included in this excerpt: IDC Opinion, IDC MarketScape Vendor Inclusion Criteria, Essential Guidance, Vendor Summary Profile, Appendix and Learn More. Also included is Figure 1.

IDC OPINION

The Rise of the Digital Enterprise

Growth in the digital economy is reshaping how business is done at a fundamental level. IDC believes there will be double-digit growth of 15.5% CAGR through 2023 in digital transformation to at least $6.8 trillion of direct digital transformation investment by organizations. This transformation is impacting the business at every level including business workflows, internal compliance processes, and software demands. In many ways, the enterprise is becoming a different species when compared with previous iterations. This digital enterprise uses modern modular software and its properties of automation, connectivity, flexible services, and visibility to drive competitive advantage. As a result, the digital enterprise has different expectations for its software and, more importantly, its software vendors. This change can be seen starkly in the way digital enterprises buy software. A few of the key characteristics of the new digital enterprise buyer are:

- **Decision features more voices.** IDG's 2019 *Role and Influence of the Technology Decision-Maker Survey* reveals that on average there are more than 20 influencers driving the final software buying decision. This includes a mix of IT and line-of-business employees.
- **Procurement as the line of business has greater influence.** Over the past decade, the line-of-business employee has gained a greater share of the overall software buying budget. The line-of-business users exert greater influence within the buying process because of their overall knowledge of the business requirements. In this case, procurement professionals understand they need technology that not only embraces the entire procurement business process but also brings greater business value, actionable insights, and improved performance with better outcomes.
- **CIOs are prioritizing innovation.** The role of IT and the CIO within the digital enterprise is not diminishing. In fact, the role of the CIO is more critical within the digital enterprise as the CIO is now considered a key driver of innovation within the company. As technology advancements are used to create competitive advantage, the CIO's new role is focused on driving the digital agenda for the digital enterprise.
- **Millennial workers are becoming buyers.** Today, millennials represent a rapidly growing percentage of organizations. The millennial workers (the oldest of which is 40 this year) are becoming a greater percentage of corporate management teams and are exerting increasing influence in the buying process. The millennial workers are partial to consumerlike experiences in their software, use of mobile technologies for every transaction, and information gathering, and they are more collaborative than previous generations.

- **COVID-19 increased the need for digital.** IDC calls this technology parity, such that all workers have secure access to the resources required to do their jobs, no matter their preferred device or location. Procurement professionals need to have access to their workflows regardless of location and this means mobile to computer abilities. IDC's 2020 *COVID-19 Impact on IT Spending Survey* (conducted August 5–17) finds organizations are investing in team collaboration sites, device security and management, office productivity, health apps, upgrades to existing devices, enterprise communities, eSignature software, VPN access to applications, virtualized access to on-premises applications, and mobile/cellular connectivity.

The Digital Procurement Difference

Businesses are investing in new procurement technology as they move toward a true digital business. Digital procurement enables the business to become digital in its procurement processes and with its partnerships with suppliers. The focus is shifted from semiautomated and integrated workflows to digital procurement programs that encompass intelligent sourcing, generative supplier relationship management, cognitive risk and quality management, iterative innovation, intelligent cost optimization, intelligent contracts, and intelligent procurement and supply planning. This focus shifts mean an organization is much more efficient and productive and proactively meeting the business needs both in the procurement professional's overall organizational role and in its relations with partners and suppliers.

These digital transformation procurement use cases embodied within the aforesaid programs enable the procurement organization to move to digital procurement quickly; however, technology vendors are currently able to fill in only some of the business processes and tasks within these procurement programs. We expect more innovation as the technology vendors play catch-up and then surpass the buyer's expectations in the next few years. COVID-19 has been the tipping point to accelerated innovation for procurement vendors to innovate faster; however, much still needs to be done. Our most recent procurement digital transformation research finds the increased importance being attributed to proactive spend management and risk analysis, touchless procure to pay, and continuous contract compliance and analysis during 2020 and 2021.

In addition, IDC's digital transformation finance use cases find that intelligent payables management and unified business spend control are two additional use cases required in 2020 and beyond. Intelligent payables management means the vendor must understand how technology is used to support the movement of money including ACH (including same day), ATM, bill payment, checks, and remote deposit. Unified business spend control means technology is now used to support the total spending of an organization including direct, indirect, accounts payable (AP), travel and expense, services, and external labor. With the CFO as one of the main supporters and signatures on procurement technology investments, it is critically important for procurement to understand the entire spend, supplier, and financial picture for the organization.

At the heart of procurement systems is the core internal system of record for procurement including spend, suppliers, sourcing, procure to pay, and contracts. These systems of record have moved beyond their monolithic system state of old toward modular solutions that can be harnessed to bring greater value for procurement. The rapidly increasing pace of global business, the impact of digital transformation, the expanding volume of business data, and advancement of the 3rd Platform and innovation accelerators have added more to the procurement systems, making them much more modular and requiring procurement systems to be deployed differently to realize benefits faster. Cloud-deployed procurement applications are answering the call of this complexity and are the de facto option for deploying procurement technology for many organizations. Artificial intelligence (AI),

machine learning, natural language processing, assistive user interfaces (UIs), and advanced analytics coupled with curated data sets are advancing cloud procurement to become a digital procurement and partnership technology. These intelligent applications are the new assets enterprises want because they enable more employee insights by automating transactions that were previously stalled and even bringing more data into the equation so organizations can make better decisions immediately. This evolution is driving enterprise users to choose technology solutions with the following characteristics:

- **Greater intelligence:** Intelligence within procurement software comes in many forms, some of which are already generally available, including workflow automation, conversational user interfaces, chatbots, and intelligent analytics, coupled with curated data sets. When taken together, intelligent workflows save time, increase operational efficiency and, more importantly, add a layer of big data analysis that human beings simply cannot duplicate.
- **More predictive features:** Organizations need to look at history and historical markers within the business, from customers and employees and suppliers that are in demand to project timelines, contract compliance, and financial analysis. However, history isn't always the same; so when you add in predictive analytics to these data sets and a multitude of other data sets from news to weather to supplier risk, the modeling and predicting of the business scenarios enable an organization to make more accurate and timely decisions. Predictive aspects allow an organization to be more agile and react to changing business demands.
- **Better data visualization:** Every function within an organization often must sift through a tremendous amount of data to find key insights. Visualization tools help employees analyze data more efficiently. Visualization tools are essential for employees to quickly see the "story" behind the data. However, the volume and the number of sources of relevant business data continue to grow as does the demand from procurement software end users to have better data visualization tools.
- **Highly flexible reporting:** Many end users still struggle with reporting. Timely reporting and accurate analysis are essential to maintain business visibility and an agile business. However, too many organizations are stuck with limited functionality and little flexibility related to reporting and analysis. Bringing in more procurement workflows and artificial intelligence capabilities allow employees to save valuable time and to dive deeper into the data to reveal value-added insights that make reporting much easier.
- **Robust data security:** IDC's most recent *SaaSPath Survey* of over 2,000 survey respondents reveals organizations purchasing procurement applications find that the most important attribute when evaluating procurement technology vendors is robust data security. Considering procurement is a major touch point into the spend of an organization and also the supplier relationship management side, organizations know data security is of utmost importance.
- **Value for the price paid:** IDC's *SaaSPath Survey* of over 2,000 survey respondents reveals that for organizations focused on procurement, the second most important attribute when evaluating these technology vendors is value for the price paid. Many organizations were interviewed for this IDC MarketScape series and quite a few references noted that they were tired of multiple solutions encompassing the entire procurement business processes. They felt the value they received for the price they paid was not equivalent to what they were using. This characteristic itself is a notice to procurement technology vendors that it is no longer about digitizing and solving a business problem within one or two areas of procurement, but rather about the ability of procurement applications to do much more than expected.

- **Suite versus best of breed:** In addition to a trusted brand, IDC's recent *SaaSPath Survey* of over 2,000 survey respondents reveals 79% of organizations would rather purchase procurement applications as part of an overall suite versus 12% that would rather purchase their procurement applications from best-of-breed vendors. 9% of respondents had no preference. The important point here is procurement understands they are not just a siloed department, they are a functional group that requires data and business processes that cut across the entire organization. IDC expects more best-of-breed procurement solutions to continue to grow their significance with added functionality in finance, treasury, networks, manufacturing, and within the business commerce aspects.

IDC MARKETSCAPE VENDOR INCLUSION CRITERIA

The vendor inclusion list for this document was selected to accurately depict the vendors that are most representative of any given procurement applications on a buyer's selection list based on the following:

- Vendors were investigated to ensure that their offerings were qualified as "SaaS" or "cloud enabled" and that the vendor had won recent deals within the relevant customer segment.
- Procurement software must meet the IDC definition of procurement.
- Vendors have procurement technology that encompasses at least these procurement areas: spend analysis, sourcing, procure to pay, contract management, and supplier relationship management. These procurement capabilities are the main focus in this IDC MarketScape document.
- Vendors were asked about their innovation in the areas of robotic process automation (RPA), machine learning, predictive analytics, natural language processing, conversational UIs, and virtual assistants/chatbots. Vendors were also asked about their intelligent workflows from every aspect possible supporting all of procurement including sourcing, procure to pay, supplier relationship management, contract management, and spend analysis.
- Incoming IDC inquiries are related to procurement solutions, with specific questions focused on capabilities of vendors, innovation and future trends of procurement vendors, customer interviews, customer satisfaction, and metrics organizations improved as a result of their use of the procurement software.
- Vendors were asked to name which other vendors they most often compete against in deals.

ADVICE FOR TECHNOLOGY BUYERS

Procurement is now front and center of helping organizations survive with business continuity, cost optimization, and business resiliency. Procurement needs a system that can grow with the business and this can be a daunting task, especially as you sift through the many procurement applications available on the market. There is a stunning amount of variety and hundreds of options among software packages specifically targeting procurement organizations. Following are a few key steps in the journey to select the right fit among the myriad of software vendors:

- **Understand your needs:** Before you choose your procurement vendor and product, you should first take the opportunity to do some self-reflection. A few key questions to ask regarding the internal factors involved in choosing software are:
  - What is my plan for growing my business?
  - How has the COVID-19 pandemic changed or restructured my business?

    - What features do I consider essential for my business, now and in the future?
    - Are there industry-specific service considerations for my software selection?
    - Are there new innovations that will make my employees' work life easier and more balanced?
    - How many users will interact with the software within the business?
    - Will we use IT to support the business?
    - How much am I willing to spend on the software?
    - How defined are my processes, or am I looking to improve them by leveraging best practice processes?
    - Can I track procurement projects? Budgets to actuals? Savings? Supplier and buyer innovative value? How does all that procurement does tie into finance and its requirements?
    - Are we planning on any mergers and acquisitions in the next few years, and how will this impact our procurement needs?
    - What are the deployment models we are using now, and are we planning on shifting?
    - Which providers offer the deployment models we need?
- **Do your research:** With so many options, organizations must take a systematic approach researching and vetting these software packages. Organizations should consider tapping into the vast web of software evaluation options including market research firms, online review sites, and industry associations. A few key questions to ask when researching the software are:
    - Does the software come with a free trial?
    - How do I buy the software? Whom do I buy it from?
    - Whom can I consult with on this matter? My team? Other business owners? Investors?
    - How long does it take to implement the software? How quickly can I start using the product?
    - Does the software have positive reviews?
    - What level of customer service is offered?
    - Do I need an outside consultant to help me install the software and bring it to use? Is there self-training available for our team?
    - What type of in-house IT resources do I need to have available, if any? Or am I reducing my internal resource and datacenter dependencies by moving to the cloud?
- **Look to the future:** Many organizations may find themselves growing rapidly. In these cases, the software must be able to grow with your business. And in the case of a pandemic, a business may need to slow down too, so organizational agility is critical when purchasing software. A few key questions to ask when considering the growth aspect of choosing a software package are:
    - What factors will speed up or slow down my growth plans?
    - How fast will the business likely grow?
    - What if my business slows or stalls – how do I curtail my usage costs?
    - Will the business be selling to/interacting with businesses/customers in other regions or countries?

- What kinds of reporting and insights will I need to manage the business as I grow? Can the software provide them?
- Does the software vendor have innovation aspects that will make my business run smoother?
- What does the software vendor's road map look like for this product?
- What is the software vendor's financial viability for the long haul?
- Will I add subordinate business units/divisions/franchises?
- How will the software interact within my organization and externally with suppliers?

This IDC MarketScape vendor assessment assists in answering the aforementioned questions and others. The goal of this document is to provide potential software customers with a list of procurement software companies that have taken great strides to incorporate the previously listed capabilities. We have profiled and assessed the vendors' capabilities to support the complicated area of procurement software.

VENDOR SUMMARY PROFILES

This section briefly explains IDC's key observations resulting in a vendor's position in the IDC MarketScape. While every vendor is evaluated against each of the criteria outlined in the Appendix, the description here provides a summary of each vendor's strengths and challenges.

Coupa

After a thorough evaluation of Coupa's offerings and strategy, IDC has positioned the company in the Leaders category in this 2021 procurement IDC MarketScape.

Coupa is headquartered in San Mateo, California. Coupa's cloud-based business spend management (BSM) suite is built from the ground up with a focus on customer success and rapid return on investment. Coupa delivers enterprise-grade BSM capabilities in one single unified suite of financial applications. Coupa is committed to best of breed in platform so customers don't have to ask "best of breed or platform" as they can have both with the Coupa BSM platform. Coupa is a value-as-a-service company and differentiates by delivering measurable business value and leveraging Community Intelligence and collaboration across the Coupa community to support each customer to spend smarter. Coupa's applications are differentiated in many hundreds of ways across the platform, from patented supplier actionable notifications to patented Open Buy Real Time Search, among many others.

Coupa's products encompass procure to pay, sourcing, travel and expense management, contract management, supplier relationship management, third-party risk management, spend analysis, treasury management, and supply chain planning and design.

Strengths

- Coupa has a single unified platform focused on all business spend management, including operational, services, direct materials and supply chain, and indirect materials.

- References noted Coupa's mobile abilities were exceptional, with one reference noting, "the ability to be mobile is a necessity in today's challenging work environment and we appreciate this ability in the Coupa product set."
- All Coupa references noted they found significant value with the real-time benchmarking using Coupa Community Intelligence as it has highlighted areas for their organization to improve and continue finding value.

Challenges

- References noted the acquisitions of Coupa have added so much functionality to the solution but in some cases the product has overlaps across workflows or some areas that are not working as well as they should. Coupa actively updates its products on an ongoing basis, which eliminates many of these areas as they are brought to Coupa's attention.
- References noted they would like the ability to have access to sub-agreements and master contracts rather than simple parent-child relationships within the contract's module.
- Customer support was noted by several references as an area for some improvement, particularly in response time. Coupa indicates that the company has sub-day initial response times for 99% of all cases received.

Consider Coupa When

You need a business spend management solution that follows the money trail and management from requirements through supplier, spend type, and organization across all spend types of services, indirect, MRO, and supply chain/direct materials.

APPENDIX

Reading an IDC MarketScape Graph

For the purposes of this analysis, IDC divided potential key measures for success into two primary categories: capabilities and strategies.

Positioning on the y-axis reflects the vendor's current capabilities and menu of services and how well aligned the vendor is to customer needs. The capabilities category focuses on the capabilities of the company and product today, here and now. Under this category, IDC analysts will look at how well a vendor is building/delivering capabilities that enable it to execute its chosen strategy in the market.

Positioning on the x-axis, or strategies axis, indicates how well the vendor's future strategy aligns with what customers will require in three to five years. The strategies category focuses on high-level decisions and underlying assumptions about offerings, customer segments, and business and go-to-market plans for the next three to five years.

The size of the individual vendor markers in the IDC MarketScape represents the market share of each individual vendor within the specific market segment being assessed.

IDC MarketScape Methodology

IDC MarketScape criteria selection, weightings, and vendor scores represent well-researched IDC judgment about the market and specific vendors. IDC analysts tailor the range of standard characteristics by which vendors are measured through structured discussions, surveys, and interviews with market leaders, participants, and end users. Market weightings are based on user

interviews, buyer surveys, and the input of IDC experts in each market. IDC analysts base individual vendor scores, and ultimately vendor positions on the IDC MarketScape, on detailed surveys and interviews with the vendors, publicly available information, and end-user experiences in an effort to provide an accurate and consistent assessment of each vendor's characteristics, behavior, and capability.

Market Definition

Procurement Applications

Procurement applications automate processes relating to purchasing supplies, material (whether direct or indirect; raw, in process, or finished; as a result of or flowing into a product supply chain-specific process; or in support of performing a service), and services (business or professional). The procurement function covers sourcing, procurement, supplier relationship management, contract management, savings tracking, transaction processing, and payments support, all of which are connected to create a single view of the spending levels at an organization. As a result, purchasing activities are integrated into a supplier community that can be easily tracked, benchmarked, and analyzed by both buyers and suppliers.

Features of these procurement modules include self-service requisitioning, order entry, approval workflow, transaction processing (EDI, EDI-INT, and digital), strategic sourcing, bid optimization, dynamic pricing, commodity strategy and spot buying, and category management; supplier discovery, management, tracking, and enforcement; catalog aggregation and syndication, supplier performance management, and supplier information management; supplier enablement, onboarding, and portals; and vendor-managed inventory support, invoice matching, vendor management, spend management, dynamic discounting, supplier financing, contract management, savings tracking, and procurement analytics.

LEARN MORE

Related Research

- *The New Enterprise Applications: Modern, Modular, and Transformational* (IDC #US46972420, November 2020)
- *Market Analysis Perspective: Worldwide Procurement Applications, 2020* (IDC #US45754720, September 2020)
- *COVID-19 Impact on DX Procurement Use Case Priorities* (IDC #US46765120, August 2020)
- *IDC's Worldwide Digital Transformation Use Case Taxonomy, 2020: Procurement* (IDC #US46441320, August 2020)
- *Worldwide Digital Transformation Investment Trends and Highlights in a COVID-19 World, August 2020* (IDC #US46794218, August 2020)
- *Worldwide Procurement Applications Forecast, 2020-2024: Digital Becomes the New Normal* (IDC #US45245820, June 2020)
- *Worldwide Procurement Applications Software Market Shares, 2019: Year of Digitization and the Cloud* (IDC #US45245620, June 2020)

Synopsis

This IDC study provides an assessment of SaaS and cloud-enabled procurement software solutions and discusses what criteria are most important for companies to consider when selecting a system.

"Procurement solutions are evolving rapidly with more functionality and innovation. Procurement organizations that want to utilize more intelligence, optimize workflows across the business, and gain more insights quickly are updating to more modern modular procurement systems," says Mickey North Rizza, program vice president, Enterprise Applications and Digital Commerce at IDC.

About IDC

International Data Corporation (IDC) is the premier global provider of market intelligence, advisory services, and events for the information technology, telecommunications and consumer technology markets. IDC helps IT professionals, business executives, and the investment community make fact-based decisions on technology purchases and business strategy. More than 1,100 IDC analysts provide global, regional, and local expertise on technology and industry opportunities and trends in over 110 countries worldwide. For 50 years, IDC has provided strategic insights to help our clients achieve their key business objectives. IDC is a subsidiary of IDG, the world's leading technology media, research, and events company.

Global Headquarters

5 Speen Street
Framingham, MA 01701
USA
508.872.8200
Twitter: @IDC
idc-community.com
www.idc.com

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